



Business cultures

Every organization has a particular workplace environment, consciously or unconsciously shaped by the personalities, values, and behavior of the people leading it and working in it.

How it works

The organizational culture of every business is different, reflecting the ethos of the company, its workplace habits, and the image the company projects. It is also tied to the type of work that has to be done. In a high-stakes financial trading company, the pace and pressure of the work makes the

atmosphere of the corporate environment crackle, whereas in a company relying on creativity for its products, the mood is likely to be more relaxed. The type of incentives offered to management and employees may also affect the workplace, resulting in either a competitive or a collaborative culture, or a mix of both.

**NEED TO KNOW**

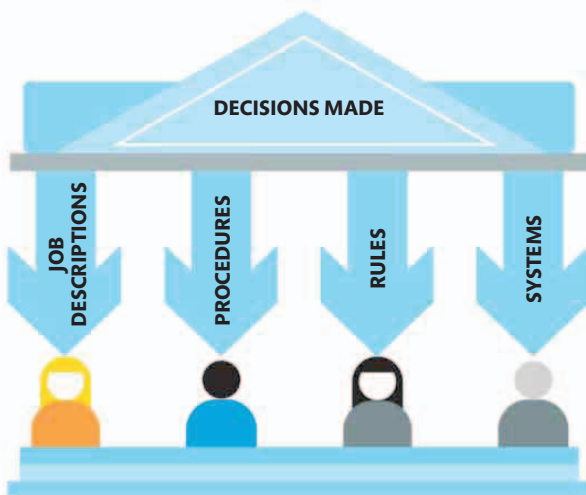
- **Control systems** Used by managers to set standards and measure performance
- **Leverage** Power to influence a person or situation
- **Paradigm** Value system of goals, mission, and beliefs

Types of corporate cultures

Management experts have tried to explain how organizational cultures work. Charles Handy, a former professor at the London Business School, describes them in terms of four major types: power, task, role, and person.

Role culture

Where a company is based on the structural support of specialized roles. Each role is crucial and will persist even if the person occupying it leaves. Procedures and systems are strictly followed, as in a government department.



Power culture

Driven by a powerful individual at the center of the organization, who is relied on for decision-making and the company's successes. Those closest to the center have most influence. Typical of a family-owned business.



bureaucratic / controlling